

Macro, Money and Banking (Spring 2026)

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This is the second mini semester in ECON 8702. The course covers research topics at the intersection of macro, money, and banking, with a focus on financial frictions and the role of macroeconomic policy (monetary, fiscal, and macroprudential). A key goal is to bring you to the research frontier and to develop analytical and quantitative tools that can be useful for your research projects.

Meetings	Monday and Wednesday, 3:00–4:40pm
Office hours	Wednesday 5:00–6:00pm, or by appointment
Location	4-170 Hanson Hall
Materials	Posted in a Dropbox folder
Evaluation	Problem sets and class participation

Reading List

The plan is to cover the topics below (approximately in the order listed). Papers marked with * are required readings. It is helpful to take a look at the papers in advance to facilitate discussion.

I. Financial Crises and Macroprudential Policy

Amador, Manuel and Bianchi, Javier (2021). Bank Runs, Fragility and Credit Easing. *American Economic Review*.

- * Amador, Manuel and Bianchi, Javier (2024). Bank Runs, Fragility and Regulation. Mimeo, Minneapolis Fed.

Bengui, Julien and Bianchi, Javier (2014). Macroprudential policy with leakages. NBER Working Paper.

Bennett, Fabien, Montamat, Guillaume, and Roch, Francisco (2023). Robust optimal macroprudential policy. *Journal of International Economics*, 141:103714.

- * Bianchi, Javier (2011). Overborrowing and systemic externalities in the business cycle. *American Economic Review*, 101(7):3400–3426.

Bianchi, Javier (2016). Efficient bailouts? *American Economic Review*, 106(12):3607–3659.

Bianchi, Javier and Mendoza, Enrique (2018). Optimal time-consistent macroprudential policy. *Journal of Political Economy*, 126(2):588–634.

Bianchi, Javier and Mendoza, Enrique (2020). A Fisherian approach to financial crises: Lessons from the sudden stops literature. *Review of Economic Dynamics*, 37:S254–S283.

Bocola, Luigi (2016). The pass-through of sovereign risk. *Journal of Political Economy*, 124(4):879–926.

Davila, Eduardo and Anton Korinek (2019). Pecuniary Externalities in Economies with Financial Frictions

- Fornaro, Luca (2015). Financial crises and exchange rate policy. *Journal of International Economics*, 95(2):202–215.
- Gertler, Mark and Kiyotaki, Nobuhiro (2010). Financial intermediation and credit policy in business cycle analysis. In *Handbook of Monetary Economics*, Vol. 3, 547–599. Elsevier.
- Gertler, Mark and Kiyotaki, Nobuhiro (2015). Banking, liquidity, and bank runs in an infinite horizon economy. *American Economic Review*, 105(7):2011–2043.
- Keister, Todd (2016). Bailouts and financial fragility. *Review of Economic Studies*, 83(2):704–736.
- Kiyotaki, Nobuhiro and Moore, John (1997). Credit cycles. *Journal of Political Economy*, 105(2):211–248.
- Lanteri, Andrea and Rampini, Adriano (2021). Constrained-efficient capital reallocation. *American Economic Review*
- Lorenzoni, Guido (2008). Inefficient credit booms. *Review of Economic Studies*, 75(3):809–833.
- Lorenzoni, Guido (2014). International financial crises. In *Handbook of International Economics*, Vol. 4, 689–740.
- Mendoza, Enrique (2010). Sudden stops, financial crises, and leverage. *American Economic Review*, 100(5):1941–1966.
- Ottonello, Pablo (2021). Optimal exchange rate policy under collateral constraints and wage rigidity. *Journal of International Economics*.
- Reinhart, Carmen and Rogoff, Kenneth (2008). *This Time is Different*.
- Rojas, Esteban and Saffie, Felipe (2022). Non-homothetic sudden stops. *Journal of International Economics*, 139:103680.
- Schmitt-Grohé, Stephanie and Uribe, Martin (2016). Multiple equilibria in open economies with collateral constraints. *Review of Economic Studies*.
- Sufi, Amir and Taylor, Alan (2021). Financial crises: A survey.

Extras: Handout Solution Methods

II. Aggregate Demand Externalities, Monetary Policy and FX Interventions

- * Amador, Manuel, Bianchi, Javier, Bocola, Luigi, and Perri, Fabrizio (2020). Exchange rate policies at the zero lower bound. *Review of Economic Studies*, 87(4):1605–1645.
- Arce, Fernando, Bengui, Julien, and Bianchi, Javier (2019). A macroprudential theory of foreign reserve accumulation. NBER Working Paper No. 26236.
- * Bianchi, Javier and Coulibaly, Louphou (2021). *Liquidity Traps, Prudential Policies, and International Spillovers*. Mimeo, Federal Reserve Bank of Minneapolis.
- Bianchi, Javier and Coulibaly, Louphou (2024). Financial integration and monetary policy coordination. NBER Working Paper.
- * Bianchi, Javier and Lorenzoni, Guido (2021). The prudential use of capital controls and foreign currency reserves. In *Handbook of International Economics*, Vol. V.

Bianchi, Javier, Hatchondo, Juan, and Martinez, Leonardo (2018). International reserves and rollover risk. *American Economic Review*, 108(9):2629–2670.

Bianchi, Javier and Van der Ghote, Alejandro (2024). International equity flows, monetary policy, and time consistency.

Caballero, Ricardo and Simsek, Alp. Financial conditions targeting in a multi-asset open economy.

Coulibaly, Louphou (2018). Monetary policy in sudden stop-prone economies. *AEJ Macro*

Du, Wenxin, Tepper, Alexander, and Verdelhan, Adrien (2018). Deviations from covered interest rate parity. *Journal of Finance*, 73(3):915–957.

Eggertsson, Gauti and Krugman, Paul (2012). Debt, deleveraging, and the liquidity trap: A Fisher–Minsky–Koo approach. *Quarterly Journal of Economics*, 127(3):1469–1513.

Fanelli, Sebastian (2020). Monetary policy, capital controls, and international portfolios. Mimeo, MIT.

Fanelli, Sebastian and Straub, Ludwig (2020). A theory of foreign exchange interventions. *Review of Economic Studies*

Farhi, Emmanuel and Werning, Ivan (2016). A theory of macroprudential policies in the presence of nominal rigidities. *Econometrica*, 84(5):1645–1704.

Fornaro, Luca and Romei, Federica (2026). Monetary Cooperation during Global Inflation Surges. *American Economic Review*

Guerrieri, Veronica and Lorenzoni, Guido (2017). Credit crises, precautionary savings, and the liquidity trap. *Quarterly Journal of Economics*, 132(3):1427–1467.

Itskhoki, Oleg and Mukhin, Dmitry (2021). Exchange rate disconnect in general equilibrium. *Journal of Political Economy*, 129(8):2183–2232.

Korinek, Anton and Simsek, Alp (2016). Liquidity trap and excessive leverage. *American Economic Review*, 106(3):699–738.

Gabaix, Xavier, and Matteo Maggiori. International liquidity and exchange rate dynamics. *The Quarterly Journal of Economics* 130.3 (2015): 1369-1420.

- * Schmitt-Grohé, Stephanie and Uribe, Martin (2016). Downward nominal wage rigidity, currency pegs, and involuntary unemployment. *Journal of Political Economy*, 124(5).

III. Tariffs: Macroeconomic Effects

Aguiar, Mark A., Amador, Manuel, and Fitzgerald, Doireann (2025). Tariff wars and net foreign assets. NBER Working Paper No. w33743.

Auray, Stéphane, Devereux, Michael B., and Eyquem, Aurélien (2025). Tariffs and retaliation: A macroeconomic analysis.

Auray, Stéphane, Devereux, Michael B., and Eyquem, Aurélien (2025). Trade wars, nominal rigidities, and monetary policy. *Review of Economic Studies*, 92(4):2228–2270.

- * Bianchi, Javier and Coulibaly, Louphou (2025). The optimal monetary policy response to tariffs. NBER Working Paper No. w33560.

Bianchi, Javier, Coulibaly, Louphou, and Engel, Charles. On the cyclicity of tariffs.

Itskhoki, Oleg and Mukhin, Dmitry (2025). The optimal macro tariff. NBER Working Paper No. w33839.

Werning, Ivan, Lorenzoni, Guido, and Guerrieri, Veronica. Tariffs as cost-push shocks: Implications for optimal monetary policy.

IV. Monetary Policy and Sectoral Reallocations

Aoki, Kosuke. Optimal monetary policy responses to relative-price changes.

Baqae, David Rezza and Farhi, Emmanuel (2020). Productivity and misallocation in general equilibrium. *Quarterly Journal of Economics*, 135(1):105–163.

- * Bianchi, Javier, McKay, Alisdair, and Mehrotra, Neil (2024). How should monetary policy respond to housing inflation? Federal Reserve Bank of Minneapolis, Staff Report No. 808.
- * Guerrieri, Veronica et al. (2021). Monetary policy in times of structural reallocation. Becker Friedman Institute Working Paper 2021-111.

V. Sovereign Debt, Default and Rollover Crises

Aguiar, Mark and Amador, Manuel (2014). Sovereign debt: A review. In *Handbook of International Economics*, Vol. 4, 647–687.

Aguiar, Mark and Amador, Manuel (2020). Self-fulfilling debt dilution: maturity and multiplicity in debt models. *American Economic Review*, 110(9):2783–2818.

Aguiar, Mark and Gopinath, Gita (2006). Defaultable debt, interest rates, and the current account. *Journal of International Economics*, 69(1):64–83.

Aguiar, Mark, Chatterjee, Satyajit, Cole, Harold, and Stangebye, Zachary (2016). Quantitative models of sovereign debt crises. In *Handbook of Macroeconomics*, Vol. 2, 1697–1755.

Arellano, Cristina (2008). Default risk and income fluctuations in emerging economies. *American Economic Review*, 98(3):690–712.

- * Barbosa-Alves, Mauricio, Javier Bianchi, and César Sosa-Padilla. International reserve management under rollover crises. No. w32393. National Bureau of Economic Research, 2024.
- * Bianchi, Javier and Mondragón, Jorge (2021). Monetary independence and rollover crises. Forthcoming, *Quarterly Journal of Economics*.

Bianchi, Javier and Sosa-Padilla, Cesar (2019). Reserve accumulation, macroeconomic stabilization and sovereign risk. *Review of Economic Studies*.

Bianchi, Javier and Sosa-Padilla, Cesar (2022). On wars, sanctions and sovereign default. *Journal of Monetary Economics*

- * Bianchi, Javier, Hatchondo, Juan, and Martinez, Leonardo (2018). International reserves and rollover risk. *American Economic Review*, 108(9):2629–2670.
- * Bianchi, Javier, Ottonello, Pablo, and Presno, Ignacio (2019). Fiscal stimulus under sovereign risk. *Journal of Political Economy*

- Bocola, Luigi and Dovis, Alessandro (2019). Self-fulfilling debt crises: A quantitative analysis. *American Economic Review*, 109(12):4343–4377.
- Calvo, Guillermo (1988). Servicing the public debt: The role of expectations. *American Economic Review*, 78(4):647–661.
- Chatterjee, Satyajit and Eyigungor, Burcu (2012). Maturity, indebtedness, and default risk. *American Economic Review*, 102(6):2674–2699.
- Cole, Harold L. and Kehoe, Timothy J. (2000). Self-fulfilling debt crises. *Review of Economic Studies*, 67(1):91–116.
- Eaton, Jonathan and Gersovitz, Mark (1981). Debt with potential repudiation: Theoretical and empirical analysis. *Review of Economic Studies*, 48(2):289–309.
- Hatchondo, Juan, Martinez, Leonardo, and Roch, Francisco (2022). Fiscal rules and the sovereign default premium. *American Economic Journal: Macroeconomics*, 14(4):244–273.
- Hébert, B. and Schreger, Jesse (2017). The costs of sovereign default: Evidence from Argentina. *American Economic Review*, 107(10):3119–3145.
- Lorenzoni, Guido and Werning, Ivan (2013). Slow moving debt crises. NBER Working Paper No. 19228.
- Morelli, Juan M., Ottonello, Pablo, and Perez, Diego J. (2022). Global banks and systemic debt crises. *Econometrica*, 90(2):749–798.
- Perez, Diego J. et al. (2015). Sovereign debt, domestic banks and the provision of public liquidity. SIEPR Working Paper.

VI. Banking and Monetary Policy

- Abadi, Joseph, Brunnermeier, Markus, and Koby, Yann (2023). The reversal interest rate. *American Economic Review*, 113(8):2084–2120.
- * Bianchi, Javier and Bigio, Saki (2021). Banks, liquidity management and monetary policy. Forthcoming, *Econometrica*.
- Bianchi, Javier, Bigio, Saki, and Engel, Charles (2020). *Scrambling for Dollars: International Liquidity, Banks and Exchange Rates*. Mimeo, Federal Reserve Bank of Minneapolis.
- Di Tella, Sebastian and Kurlat, Pablo (2021). Why are banks exposed to monetary policy? Technical report.
- Eggertsson, Gauti, Juelsrud, Ragnar E., Summers, Lawrence, and Wold, Ezra G. (2019). Negative nominal interest rates and the bank lending channel. NBER Working Paper.

VII. Central Banks' Balance Sheets and Monetary Policy

- * Amador, Manuel and Bianchi, Javier. Helicopter drops and liquidity traps. NBER Working Paper No. 31046.
- Amador, Manuel, Bianchi, Javier, Bocola, Luigi, and Perri, Fabrizio (2016). Reverse speculative attacks. *Journal of Economic Dynamics and Control*, 72:125–137.

Bassetto, Marco and Sargent, Thomas (2020). Shotgun wedding: Fiscal and monetary policy. *Annual Review of Economics*, 12(1):659–690.

Bhattarai, Saroj, Eggertsson, Gauti, and Gafarov, Bulat (2022). Time consistency and duration of government debt: A model of quantitative easing. *Review of Economic Studies*, rdac063.

Krugman, Paul (1979). A model of balance-of-payments crises. *Journal of Money, Credit and Banking*, 11(3):311–325.